Portfolio Performance Review

HarborShield General Insurance P.J.S.C. | Six months ended 30 June 2026 | AED millions unless stated

INSURANCE TEMPLATE | FINANCE, CLAIMS AND CUSTOMER OUTCOMES

Executive summary

Insurance revenue grew across motor and health, while property renewals were selective. The combined ratio improved despite two large property losses because earned rate increases and lower motor frequency offset claims inflation. Customer retention strengthened, but average claim settlement time remains above the internal target.

Line of business	Insurance revenue H1 2026	Insurance revenue H1 2025	Claims incurred H1 2026	Policy count
Motor	142.8	131.2	91.6	186,400
Health	118.5	106.9	82.4	94,700
Property	76.2	78.1	49.8	12,900
Marine	31.7	28.6	17.3	7,450
Total	369.2	344.8	241.1	301,450

Claims commentary

Two property claims above AED 5 million were reported during the period. Motor claim frequency decreased after portfolio repricing, although repair-cost severity increased. Health utilization was stable; outpatient pharmacy costs remain under review.

Condensed financial results

Statement item	H1 2026	H1 2025
Insurance revenue	369.2	344.8
Insurance service expense	(274)	(264)
Insurance service result	95.3	81.1
Net investment income	24.6	19.8
Finance expense from insurance contracts	(14)	(12)
Operating expenses	(49)	(45)
Profit before tax	57.1	43.5
Income tax	(9)	(6)
Net profit	48.5	37.0

Service and portfolio indicators

Operational measure	H1 2026	H1 2025	Target
Claims incurred	241.1	236.8	-
Acquisition and administrative claims costs	72.8	70.5	-
Earned premium equivalent	369.2	344.8	-
Policies due for renewal	244,800	231,200	-
Policies retained	211,990	196,520	>= 85.0%
Claims closed	68,420	64,880	-
Claims closed within target	54,736	53,201	>= 85.0%
Customer complaints	2,145	2,382	<= 2,200

Calculated portfolio indicators

Parentheses represent negative amounts. Ratios below are derived from the reported figures and should be independently recalculated by the processing pipeline.

Derived KPI	Formula	H1 2026	Comparison / meaning
Insurance revenue growth	(369.2 - 344.8) / 344.8	7.1%	Positive year-on-year growth
Combined ratio	(241.1 + 72.8) / 369.2	85.0%	Improved from 89.1%
Policy retention	211,990 / 244,800	86.6%	Above internal target
Claims closed within target	54,736 / 68,420	80.0%	Below service target
Net profit growth	(48.5 - 37.0) / 37.0	31.1%	Strong earnings improvement

Non-financial assessment

Retention and complaint volumes improved. Claims-service timeliness weakened and remains the primary customer-outcome concern. Management has approved workflow automation for low-complexity motor claims and additional quality checks for outsourced adjusters.

Outlook

Management expects disciplined growth to continue. Key uncertainties are medical inflation, repair-part costs, catastrophe exposure and investment-market volatility.